

have awakened with \$373,584—enough for him to afford a nice condo, a Volvo, and a haircut; whereas if he'd invested in stocks, which returned 9.8 percent a year, he'd have \$5,459,720. (Since Rip was asleep, neither the Crash of '29 nor the ripple of '87 would have scared him out of the market.)

In 1927, if you had put \$1,000 in each of the four investments listed below, and the money had compounded tax-free, then 60 years later you'd have had these amounts:

Treasury bills	\$ 7,400
Government bonds	13,200
Corporate bonds	17,600
Common stocks	272,000

In spite of crashes, depressions, wars, recessions, ten different presidential administrations, and numerous changes in skirt lengths, stocks in general have paid off fifteen times as well as corporate bonds, and well over thirty times better than Treasury bills!

There's a logical explanation for this. In stocks you've got the company's growth on your side. You're a partner in a prosperous and expanding business. In bonds, you're nothing more than the nearest source of spare change. When you lend money to somebody, the best you can hope for is to get it back, plus interest.

Think of the people who've owned McDonald's bonds over the years. The relationship between them and McDonald's begins and ends with the payoff of the debt, and that's not the exciting part of McDonald's. Sure, the original bondholders have gotten their money back, the same as they would have with a bank CD, but the original stockholders have gotten rich. They own the company. You'll never get a tenbagger in a bond—unless you're a debt sleuth who specializes in bonds in default.

WHAT ABOUT THE RISKS?

"Ah, yes," you say to yourself, especially after the latest drop in stock prices, "but what about the risks? Aren't stocks riskier than bonds?" Of course stocks are risky. Nowhere is it written that a stock owes us anything, as it's been proven to